

Employing in Singapore

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Employment Act
- **Monthly payroll** — salary payments in SGD, itemised payslips
- **Tax withholding** — IR8A reporting; no PAYE for citizens/PRs, mandatory withholding for foreign employees leaving Singapore
- **CPF** — Central Provident Fund contributions for citizens and PRs
- **Leave and termination management** — notice periods, entitlements and wrongful dismissal risk guidance

Employment Conditions

Contracts & Probation

The Employment Act sets minimum terms for most employees. There is no statutory minimum or maximum probation period — 3–6 months is standard practice, and the Employment Claims Tribunal handles most salary and wrongful dismissal disputes without going to court.

Item	Detail	Legal Basis
Written key employment terms (KETs)	Mandatory within 14 days of employment start	Employment Act, Ministry of Manpower
Probation period	No statutory minimum/maximum; 3–6 months typical	Employer discretion
Contractor classification	New Workplace Fairness Act (2025) prohibits discrimination in hiring and employment	Workplace Fairness Act 2025

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	44 hours/week (typically 8 hrs/day, 5.5-day week)	Employment Act, Part IV (covered employees only)
Overtime premium	150% of hourly basic rate, capped at 72 hrs/month	Employment Act, Part IV
Part IV coverage	Applies to workmen earning ≤\$4,500/month and other employees earning ≤\$2,600/month	Employment Act

Minimum Wage & CPF (2026)

Singapore has no universal minimum wage. Instead, the Progressive Wage Model (PWM) sets sector-specific pay floors (cleaning, security, landscaping, food services, retail and more), backed by the Local Qualifying Salary and Workfare Income Supplement.

Measure	Rate	Notes
Local Qualifying Salary	SGD 1,600/month (rising to \$1,800 under Budget 2026)	Minimum local pay for firms hiring foreign workers
CPF (employer, age ≤55)	17% of Ordinary Wages	Total contribution 37% (20% employee); citizens/PRs only
CPF Ordinary Wage ceiling	SGD 8,000/month (from 1 Jan 2026)	Up from \$7,400; annual ceiling remains SGD 102,000

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	7–14 days/year (scales with tenure)	Employer	After 3 months' service; Part IV employees only by statute
Sick Leave	14 days outpatient + 60 days hospitalisation/year	Employer	After 6 months' service (pro-rated earlier)
Maternity Leave	16 weeks (Government-Paid Maternity Leave)	Employer, reimbursed by government (capped)	Child must be a Singapore citizen for full 16 weeks
Paternity Leave	4 weeks (extended from 2 weeks in 2024)	Employer, reimbursed by government (capped)	Government-Paid Paternity Leave scheme

★ HERO TIP

Singapore's CPF Ordinary Wage ceiling rose to SGD 8,000/month from 1 January 2026 — a meaningful cost increase for higher earners, since CPF is calculated on Ordinary Wages up to this new ceiling rather than the old \$7,400 cap. Budget for a further increase from 1 January 2027 under the multi-year CPF reform schedule.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%

Gross Salary	\$2,000.00	100%
CPF employer contribution (17%, citizens/PRs only)	\$510.00	17.00%
EOR service fee (HeroForce, Tier 2)	\$500.00	16.67%
Estimated total monthly cost	~\$4,010.00	~133.7%

HeroForce EOR service fee shown at USD \$500 per employee per month (Tier 2 pricing), no setup fee. CPF only applies to Singapore citizens and Permanent Residents — foreign employees on work passes attract no CPF at all, materially lowering employer cost. Employee deductions (withheld separately) include CPF (20% for citizens/PRs) and, for foreign employees, income tax withheld on departure.

Income Tax (Year of Assessment 2026)

Singapore has no PAYE system for citizens/PRs — employees file annual returns directly with IRAS. Employers must withhold and remit tax for foreign employees who cease Singapore employment.

Chargeable Income (SGD)	Rate
First \$20,000	0%
\$20,001 – \$30,000	2%
\$30,001 – \$40,000	3.5%
\$40,001 – \$80,000	7%
\$80,001 – \$120,000	11.5%
\$120,001 – \$200,000	15%
Above \$200,000	18% – 24% (rising progressively, top rate above \$1M)

Termination & Separation

Notice Periods

Length of Service	Statutory Minimum Notice (if not specified in contract)	Key Rule
Less than 26 weeks	1 day	Employment Act, s.10
26 weeks – 2 years	1 week	Employment Act, s.10
2 – 5 years	2 weeks	Employment Act, s.10
5+ years	4 weeks	Employment Act, s.10

There is no general statutory redundancy/retrenchment benefit under the Employment Act — retrenchment benefit is customary (commonly 2–4 weeks' salary per year of service for eligible employees with 2+ years' service) rather than a fixed legal entitlement, though the Tripartite Advisory recommends this norm.

★ HERO TIP

Singapore's new Workplace Fairness Act 2025 introduces statutory protections against workplace discrimination for the first time — including age, race, religion, disability, and family status — with the Employment Claims Tribunal empowered to hear related claims. Review hiring and termination documentation for compliance before relying on past practice.

Public Holidays 2026

Singapore observes 11 public holidays in 2026, reflecting its multi-ethnic society. Several dates shift annually based on the lunar and Islamic calendars.

Date	Holiday	Type
1 January	New Year's Day	National
17–18 February	Chinese New Year	National
21 March	Hari Raya Puasa	National
3 April	Good Friday	National
1 May	Labour Day	National
27 May	Hari Raya Haji	National
31 May (observed 1 June)	Vesak Day	National
9 August (observed 10 August)	National Day	National
8 November (observed 9 November)	Deepavali	National
25 December	Christmas Day	National

If a holiday falls on a Sunday, the next day not itself a public holiday is observed instead.

Ready to hire in Singapore?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Singapore employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$500** per employee per month, no setup fee (Tier 2).